

The Board of Directors of I&M Holdings PLC is pleased to announce audited results of the Group as at 31 December 2020

STATEMENT OF FINANCIAL POSITION		COMPANY		GROUP	
		AUDITED DEC 2019 [KSHS'000]	AUDITED DEC 2020 [KSHS'000]	AUDITED DEC 2019 [KSHS'000]	AUDITED DEC 2020 [KSHS'000]
A ASSETS					
01. Cash (both local and foreign)	-	-	2,361,064	3,991,322	
02. Balances due from central banks	-	-	13,024,765	15,412,097	
03. Kenya Government and other securities held for dealing purposes	-	-	-	-	
04. Financial Assets at fair value through profit or loss (FVTPL)	-	-	13,744,048	11,869,403	
05. Investment Securities:	-	-	-	-	
a) Held at amortised cost:	-	-	-	-	
a. Kenya Government securities	-	-	18,925,430	36,732,012	
b. Other securities	-	-	8,145,589	10,632,613	
b) Fair value through other comprehensive income (FVOCI):	-	-	-	-	
a. Kenya Government securities	27,679	28,392	10,757,407	36,635,314	
b. Other securities	-	-	2,351,791	5,841,938	
06. Deposits and Balances due from local banking institutions	-	-	1,123,415	1,109,584	
07. Deposits and Balances due from banking institutions abroad	-	-	42,538,989	17,225,856	
08. Tax recoverable	5,253	4,369	37,819	133,588	
09. Loans and advances to customers (net)	-	-	175,329,426	187,391,266	
10. Balances due from banking institutions in the Group	-	-	-	-	
11. Investment in associates	-	-	-	-	
12. Investment in subsidiary companies	25,662,294	26,151,882	-	-	
13. Investment in joint ventures	2,110,591	2,515,591	5,398,545	5,177,219	
14. Investment properties	-	-	-	-	
15. Property and equipment	-	-	10,152,429	12,121,588	
16. Prepaid lease rentals	-	-	-	-	
17. Intangible assets	-	-	5,156,678	5,591,942	
18. Deferred tax asset	-	-	3,014,836	4,211,504	
19. Retirement benefit asset	-	-	-	-	
20. Other assets	88,157	450,183	3,228,443	4,022,547	
21. TOTAL ASSETS		27,893,974	29,150,417	315,290,674	358,099,793
B LIABILITIES					
22. Balances due to central banks	-	-	-	-	
23. Customer deposits	-	-	229,736,509	262,681,402	
24. Deposits and balances due to local banking institutions	-	-	113,250	691,996	
25. Deposits and balances due to foreign banking institutions	-	-	7,892,354	6,070,839	
26. Other money market deposits	-	-	-	-	
27. Borrowed funds	-	-	10,855,626	14,772,763	
28. Balances due to banking institutions in the Group	-	-	-	-	
29. Tax payable	-	-	894,694	155,863	
30. Dividends payable	-	-	-	-	
31. Deferred tax liability	-	-	-	-	
32. Retirement benefit liability	-	-	-	-	
33. Other liabilities	1,972,173	1,965,596	4,936,068	5,663,791	
34. TOTAL LIABILITIES		1,972,173	1,965,596	254,428,501	290,036,654
C SHAREHOLDERS' EQUITY					
35. Paid up/Assigned share capital	826,811	826,811	826,811	826,811	
36. Share premium/(discount)	18,390,507	18,390,507	18,390,507	18,390,507	
37. Revaluation reserves - (Buildings)	-	-	875,985	929,217	
38. Retained earnings/(Accumulated losses)	6,704,522	7,966,741	33,918,324	39,610,553	
39. Statutory loan loss reserves	-	-	5,518,392	5,867,908	
40. Other reserves	(39)	762	(374,844)	(175,160)	
41. Proposed dividends	-	-	-	-	
42. Translation reserve	-	-	(1,416,566)	(1,260,493)	
43. TOTAL SHAREHOLDERS' EQUITY	25,921,801	27,184,821	57,738,609	64,189,343	
44. Non controlling interest	-	-	3,123,564	3,873,796	
45. TOTAL LIABILITIES & SHAREHOLDERS' EQUITY		27,893,974	29,150,417	315,290,674	358,099,793

STATEMENT OF COMPREHENSIVE INCOME		COMPANY		GROUP	
		AUDITED DEC 2019 [KSHS'000]	AUDITED DEC 2020 [KSHS'000]	AUDITED DEC 2019 [KSHS'000]	AUDITED DEC 2020 [KSHS'000]
01. INTEREST INCOME					
1.1 Loans and advances	-	-	22,364,083	21,885,324	
1.2 Government securities	24,309	3,036	4,120,736	5,598,805	
1.3 Deposits and placements with banking institutions	17,708	26,139	656,440	364,446	
1.4 Other interest income	-	-	22,588	-	
1.5 Total interest income	42,017	29,175	27,163,847	27,848,575	
02. INTEREST EXPENSE					
2.1 Customer deposits	-	-	10,081,560	10,552,655	
2.2 Deposits and placements from banking institutions	-	-	542,610	860,925	
2.3 Other interest expenses	-	-	1,029,836	835,400	
2.4 Total interest expense	-	-	11,654,006	12,248,980	
03. NET INTEREST INCOME/ (LOSS)	42,017	29,175	15,509,841	15,599,595	
04. OTHER OPERATING INCOME					
4.1 Fees and commissions on loans and advances	-	-	1,867,240	1,927,786	
4.2 Other fees and commissions	-	-	2,126,408	2,242,517	
4.3 Foreign exchange trading income/ (Loss)	-	-	2,577,518	1,883,939	
4.4 Dividend income	351,580	3,377,000	-	-	
4.5 Other income	16,866	318	1,714,375	2,583,511	
4.6 Total non-interest income	368,446	3,377,318	8,285,541	8,637,753	
05. TOTAL OPERATING INCOME	410,463	3,406,493	23,795,382	24,237,348	
06. OTHER OPERATING EXPENSES					
6.1 Loan loss provisions	-	-	636,455	2,472,836	
6.2 Staff costs	-	-	4,662,868	4,464,503	
6.3 Directors' emoluments	-	-	64,830	90,941	
6.4 Rentals charges	-	-	423,951	428,732	
6.5 Depreciation charge on property and equipment	-	-	821,799	993,125	
6.6 Amortisation charges	-	-	343,721	532,741	
6.7 Other operating expenses	40,699	31,102	3,143,687	3,623,504	
6.8 Total other Operating Expenses	40,699	31,102	10,097,311	12,606,382	
07. PROFIT/ (LOSS) BEFORE TAX AND EXCEPTIONAL ITEMS	369,764	3,375,391	13,698,071	11,630,966	
08. EXCEPTIONAL ITEMS - SHARE OF PROFIT OF JOINT VENTURE	-	-	905,037	(678,962)	
09. PROFIT/ (LOSS) AFTER EXCEPTIONAL ITEMS	369,764	3,375,391	14,603,108	10,952,004	
10. Current tax	(5,088)	(4,805)	(4,992,740)	(3,785,094)	
11. Deferred tax	-	-	1,158,246	1,245,648	
12. PROFIT/ (LOSS) AFTER TAX AND EXCEPTIONAL ITEMS	364,676	3,370,586	10,768,614	8,412,558	
13. Non controlling interest	-	-	(459,576)	(338,703)	
14. PROFIT/ (LOSS) AFTER TAX, EXCEPTIONAL ITEMS AND NON-CONTROLLING INTEREST	364,676	3,370,586	10,309,038	8,073,855	
15. OTHER COMPREHENSIVE INCOME					
15.1 Gains/ (Losses) from translating the financial statements of foreign operations	-	-	(750,519)	317,658	
15.2 Fair value changes in financial assets at FVOCI	(3,016)	801	190,557	241,128	
15.3 Statutory loan loss reserve	-	-	-	-	
15.4 Fair value changes on employee benefits	-	-	(30,681)	(37,519)	
15.6 Income tax relating to components of other comprehensive income	-	-	55,708	75,118	
16. OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	(3,016)	801	(534,935)	596,385	
17. TOTAL COMPREHENSIVE INCOME FOR THE YEAR	361,660	3,371,387	10,233,679	9,008,943	
18. EARNING PER SHARE - DILUTE & BASIC (KSHS)	0.44	4.08	12.47	9.77	
19. DIVIDEND PER SHARE - PROPOSED (KSHS)	2.55	2.25	2.55	2.25	

OTHER DISCLOSURES		COMPANY		GROUP	
		AUDITED DEC 2019 [KSHS'000]	AUDITED DEC 2020 [KSHS'000]	AUDITED DEC 2019 [KSHS'000]	AUDITED DEC 2020 [KSHS'000]
01. NON-PERFORMING LOANS AND ADVANCES					
a) Gross Non-performing Loans and advances				21,310,499	23,595,463
Less					
b) Interest in suspense				3,960,897	4,914,559
c) Total Non-performing loans and advances (a-b)				17,349,602	18,680,904
Less					
d) Loan loss provisions				8,625,013	10,841,449
e) Net Non Performing Loans (c-d)				8,724,589	7,839,455
f) Discounted value of securities				8,724,589	7,839,455
g) Net NPLs exposure (e-f)				-	-
02. INSIDER LOANS AND ADVANCES					
a) Directors, shareholders and associates				3,647,225	3,954,740
b) Employees				1,822,882	2,109,902
c) Total Insider Loans and Advances				5,470,107	6,064,642
03. OFF-BALANCE SHEET ITEMS					
a) Letters of Credit, Guarantees, Acceptances				45,778,555	61,730,636
b) Forwards, swaps and options				56,691,811	7,409,365
c) Other contingent liabilities				1,605,766	3,198,988
d) Total Contingent liabilities				104,076,132	72,338,989
04. CAPITAL STRENGTH					
a) Core capital				52,230,009	59,039,782
b) Minimum statutory capital				1,000,000	1,000,000
c) Excess/ (deficiency)				51,230,009	58,039,782
d) Supplementary capital				11,694,939	10,555,148
e) Total capital (a+d)				63,924,948	69,594,930
f) Total risk weighted assets				301,217,897	316,791,179
g) Core capital/ Total deposit liabilities				22.73%	22.48%
h) Minimum statutory ratio				8.00%	8.00%
i) Excess/ (Deficiency) (g-h)				14.73%	14.48%
j) Core capital/ Total risk weighted assets				17.34%	18.64%
k) Minimum statutory ratio				10.50%	10.50%
l) Excess / (Deficiency) (j-k)				6.84%	8.14%
m) Total capital/ Total risk weighted assets				21.22%	21.97%
n) Minimum statutory ratio				14.50%	14.50%
o) Excess/ (Deficiency) (m-n)				6.72%	7.47%
p) Adjusted Core Capital/ Total Deposit Liabilities*				22.50%	22.55%
q) Adjusted Core Capital/ Total Risk Weighted Assets*				1716%	18.70%
r) Adjusted Total Capital/ Total Risk Weighted Assets*				21.04%	22.03%
05. LIQUIDITY					
a) Liquidity ratio				46.31%	50.51%
b) Minimum statutory ratio				20.00%	20.00%
c) Excess/ (Deficiency) (a-b)				26.31%	30.51%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

SUMMARY OF CONSOLIDATED STATEMENT OF CASH FLOWS		COMPANY		GROUP	
		AUDITED DEC 2019 [KSHS'000]	AUDITED DEC 2020 [KSHS'000]	AUDITED DEC 2019 [KSHS'000]	AUDITED DEC 2020 [KSHS'000]
Net cash generated from / (used in) operating activities		(1,137,172)	3,369,737	11,830,044	(13,633,979)
Cash flows used in investing activities		(430,620)	(894,588)	(3,107,021)	(3,647,609)
Net cash used in financing activities		(1,446)	(2,108,367)	(1,531,603)	(2,395,424)
Net increase / (decrease) in cash and cash equivalents		(1,569,238)	366,782	7,191,420	(19,677,012)
Cash and cash equivalents at beginning of period		1,648,515	79,277	33,957,996	41,149,416
Cash and cash equivalents at end of period		79,277	446,059	41,149,416	21,472,404

SUMMARY OF CONSOLIDATED STATEMENT OF CHANGES IN EQUITY	SHARE CAPITAL (KSHS'000)	SHARE PREMIUM (KSHS'000)	RETAINED EARNINGS (KSHS'000)	OTHER RESERVES (KSHS'000)	NON CONTROLLING INTEREST (KSHS'000)	TOTAL (KSHS'000)
At 1 January 2019	413,405	18,805,359	26,931,401	1,718,866	3,005,417	50,874,448
Other comprehensive income	-	-	6,986,923	2,884,101	362,655	10,233,679
Transactions with owners	413,406	(414,852)	-	-	(244,508)	(245,954)
Audited at 31 December 2019	826,811	18,390,507	33,918,324	4,602,967	3,123,564	60,862,173
At 1 January 2020	826,811	18,390,507	33,918,324	4,602,967	3,123,564	60,862,173
Other comprehensive income	-	-	7,740,297	758,505	510,141	9,008,943
Transactions with owners	-	-	(2,048,068)	-	240,091	(1,807,977)
Audited at 31 December 2020	826,811	18,390,507	39,610,553	5,361,472	3,873,796	68,063,139

Message from the Directors

Basis of Preparation

These financial statements are an extract from audited financial statements for the period ended 31 December 2020 which have been prepared in accordance with International Financial Reporting Standards [IFRSs] and Kenyan Company Act, 2015. The principal risks and uncertainties facing the Group and Company as well as the risk management framework are outlined in Note 5 of the consolidated and separate financial statements.

The financial statements were audited by KPMG Kenya and received an unqualified opinion. The financial statements were approved by the Board of Directors on 30 March 2021 and were signed by Messrs Daniel Ndonye, Dr A N Koigi and Sachit S. Raja Shah.

Dividend

The Directors recommend a dividend of KShs. 2.25 per share amounting to KShs. 1,860,324,161 for the year ended 31 December, 2020. A dividend of KShs. 2.55 per share amounting to KShs. 2,108,367,382 in respect of the year ended 31 December 2019 was paid on the 26 June, 2020.

The dividend will be payable to shareholders registered on the Company's Register at the close of business on Thursday 15 April 2021 and will be paid on or around Thursday, 20 May 2021. The Register of Members will be closed from Friday, 16 April 2021 to Monday, 19 April 2021 [both days inclusive] for the purpose of processing the dividend.

Bonus issue

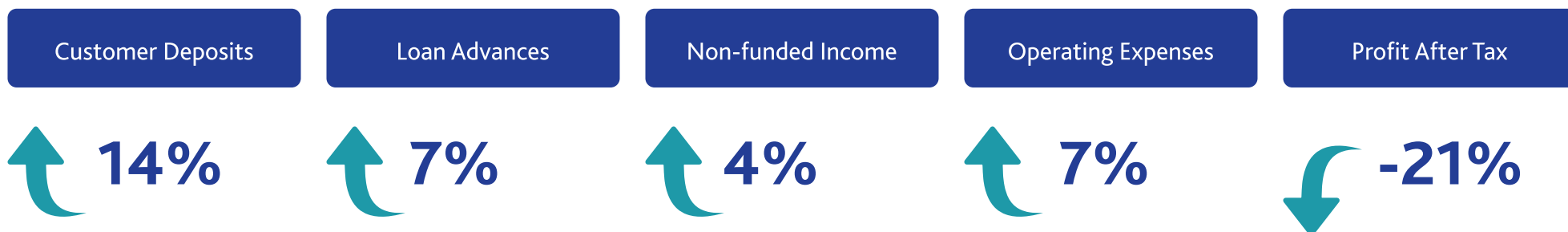
The Board has resolved to recommend the issuance of bonus share of one [1] new fully paid up bonus share of a par value KShs 1.00 for every one [1] ordinary shares of par value KShs 1.00 to be issued to the shareholders registered on the Company's register at the close of business on 10 May 2021. The Register of Members will be closed from Tuesday 11 May 2021 to Thursday 13 May 2021 [both days inclusive] for the purpose of processing the bonus shares.

The bonus issue is subject to approval by the Capital Markets Authority and the shareholders at the Annual General Meeting to be held on 20 May 2021. Subject to receipt of the requisite approvals, shareholders will be credited with the bonus shares on 21 May 2021. The bonus shares will not be entitled to receive

COMMENTARY

The Board of Directors of I&M Holdings PLC is pleased to announce the Group's audited full year results for the year ended 31 December 2020.

Financial Highlights



2020 Group performance against the COVID-19 backdrop

I&M Holdings PLC, recorded a 14% growth in its Balance Sheet size for its 2020 Full Year Financial Results, bolstered by customer deposits growth and a modest growth in customer lending. During the period under review, the Group, in line with its Brand Promise on placing its customers' interests first, instituted a raft of measures aimed at cushioning them from the COVID-19 crisis. Key among them was increased financing to businesses supporting COVID-19 mitigation measures, waiver of fees of select loans like Mortgages and loan repayment holidays for its lending customers. During the challenging period, the Group's lending book still posted a growth compared to December 2019.

COVID-19 pandemic, which ravaged various economies and particularly the geographies we operate in, posed challenges to our balance sheet quality. We did take intentional steps to offer various forms of support to our customers who would otherwise have fallen behind in their various obligations. Despite the challenges, our gross NPA ratio rose a modest 1% to 12%. During the period, we have improved our loan coverage ratio to 67%[2019-59%] and our group NPA charge to the P&L rose 4 times when compared to similar period in 2019.

The result of increased focus on growing quality interest earning assets, better management of various portfolios and reductions in various fees to support customers during the crisis, our operating income came at a modest growth of 2% over the preceding year. Operating costs however rose by 7%, largely in line with inflation and reflecting the various investments under our iMara strategy earlier instituted by the bank in 2017. Additionally, the Group made a strategic effort to push uptake and usage of its alternate banking channels by giving concessions to encourage customers to utilise these channels for their banking transactions. As a result, the Group's total Non-Interest Income recorded a marginal but steady growth year on year.

The Group's profit after tax however recorded a 21% decline down from the previous period reflecting the adverse impact of the pandemic on our customers across the geographies we operate in. Indeed 2020 will go down as one of the most challenging years that the Group has had to weather. The Group rose above the challenges by looking at new dimensions that would help sustain the Group's business performance across the countries that we operate in. Key among them was to ramp-up efforts in our digital transformation journey. Despite all this, our regulatory ratios have remained healthy. Our liquidity, from financials published, remained above 45% through the year while the regulatory capital minimums held above the set regulatory limits and also our internally set thresholds. It is against this confidence and capital strength, that the Group is expanding operations into the Uganda market, having last year announced the planned acquisition of Orient Bank, Uganda which is subject to different regulatory approvals.

In an effort to ensure that clients receive the right solutions based on their financial and lifestyle requirements, the Group made a strategic effort to optimise its operating model across its entities in key areas in decision making such as enhanced data analytics models and improve our staff incentive structures. In addition, the Group continued to make investments towards ICT infrastructure developments so as to support its innovation engine for market driven solutions and to also improve operational efficiencies.

On our shared value agenda, the I&M Group, through its Foundation continues to support different vulnerable communities especially those impacted by the pandemic. The I&M Foundation set aside a Kshs. 50 million kitty to support vulnerable communities impacted by COVID-19 and also contributed a Kshs. 2 million grant to the St. Anne's Suresh Raja Shah school in Kairi, Kiambu County, to support online learning for its students. In addition, the Foundation donated Kshs. 1 million to the Maa Trust to support Maa Beadwork social enterprise for over 500 Maasai women, living in Maasai Mara, in a bid to provide sustainable livelihoods.

The Group remains optimistic about its prospects for 2021. We shall endeavour to take advantage of the Government's optimism on the country's economic outlook to create opportunities that help enhance our shareholders' value. Owing to the COVID-19 threat, I&M Holdings PLC's 2021 outlook will focus on building a resilient financial institution in its liquidity and funding, against emerging operational, cyber and credit risks whilst also ensuring it remains a good corporate citizen by embracing its Environmental, Social and Governance Responsibility. Coupled with continued focus on customer centricity, supported by increased rigour towards digitization and highest service delivery standards, there is no doubt that the group will continue in its steady growth path and thrive in these unprecedented times.

We are on your side!

For and on behalf of the Board

Daniel Ndonye (Chairman)

31st March 2021

